STD 8 SOCIAL SCIENCE

SURE A PLUS NOTES

Basic Economic Problems and the Economy

1.What is basic needs ?

@ The essential needs for the survival of life such as food, clothing and shelter can be called basic needs.

Built a house-basic needs (First Term Exam)

2.What do you mean by Gratifying needs?

There are certain needs that make our life more comfortable and happy. These are called gratifying needs. Examples for this include the use of luxury cars, expensive jewellery and costly dresses.

Bought a luxuary car-Gratifying needs (First Term Exam)

3. What are the Characteristics of Needs ?

$ Human needs are diverse and innumerable . Some needs can be met alone and others through collective efforts .A need once fulfilled may be repeated .Needs vary with time, place and individuals.

4. What are the Basic Economic Problems faced by a society or a country?

* What to produce? * How to produce? * For whom to produce?

5.Explain What to produce?

< Each country has to prioritise what to produce using the available resources.

< Once it is decided what to produce, the question as how much to produce becomes relevant.

< A country has to produce many goods and services.

< It is necessary to decide what industries to start and how many units if it is decided to manufacture industrial products.

6.Explain How to Produce?

> How to produce," focuses on the methods and techniques employed in the production process.

> There are two types of production Technique ; ie Labour Intensive Technique

7.Define Labour Intensive Technique

• The method of production ie;.using more labour and less capital is called 'Labour Intensive Technique & Capital Intensive Technique

8.Define Capital Intensive Technique

◎ The method of producton using more capital and less labour is called 'Capital Intensive Technique.'

9.A person who has newly started a start-up uses machines instead of labours for production. Which method of production has he used? What is the characteristic of this method? (First Term Model Qn Paper)

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➢ Production involving more labourers

➢ Low level of capital utilisation a production method that requires more time

➢ Eco-friendly production method . limited use of technology

10.In the modern world, most countries adopt a capital intensive technique. Why is this method adopted?

@ Less demand for labourers

@ Utilises more capital investment

@ Ensures productivity . Pepends more on technology

11.Explain For Whom to Produce?

Production should be done to meet the needs of the people.

The question for whom to produce means how goods and services produced are distributed among the people.

Production activities should be planned in such a way that available resources are utilised to benefit everyone in the society .

12.Tabulate the factors of production & Reward

Land	Rent
Labour	Wages
Capital	Interest
Entrepreneurship	Profit

13.Elucidate characteristics of the Economy ?

$ Economy is man-made.Economy is subject to change .

$ Economic activities in the economy keep changing.

$ Production, distribution and consumption are the main activities in the economy.

14.What are the different Types of Economies and its Features

Capitalist Economy	*It is an economy in which ownership of the factors of production is concentrated in individuals. *All persons have the right to own property maximum profit . *Limited government intervention. *Competition among industries
Socialist Economy	* A socialist economy is one in which the government owns and controls all the factors of production. * A centralised planning committee will take decisions on economic activities. * Ownership of the factors of production is vested in the government . * Social welfare is the main objective . * Government's control over the market reducing inequality

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	in income and wealth.
Mixed Economy	* A mixed economy is one that combines some features of a capitalist economy and a socialist economy. * Coexistence of private and public sector.Profitability and social welfare become the main objectives . * Individual freedom in economic activities. * Financial planning for preparation of government schemes.

@ Suppose you are a person who prefers a socialist economy. What facts about this economic system would you put forward for justification? (First Term Model Qn Paper) **See Qn No 14**

@ Which economic system did India adopt after independence? What are the characteristics of this economic system?

Ans – Mixed Economy (First Term Model Qn Paper) (Third Term Model Qn Paper) **See Qn No 14**

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15.Who is known as the Father of Economics?

Adam Smith

16.Tabulate the Economist and their thought

Economist	Thought/ ideas
Alfred Marshall	Formulated economics as the science that deals with welfare.
Lionel Robbins	Envisioned economics as the branch that deals with the relationship between human wants and limited resources.
David Ricardo (First Term Exam)	Came up with the theory that trade between two countries can increase the welfare of both countries. His 'Theory of Rent' regarding the lease of land is very famous.
Karl Marx (First Term Exam)	Developed the 'Theory of Surplus Value.' According to Marx, the basis of production is the labour of the workers. But only a small portion of this is given to the labourer and the majority is kept by the capitalist.
J. M. Keynes	Argued for the theory of government intervention the economic sector. He opined that economic problems can be solved to some extent through government intervention
Chanakya	Devised an efficient tax system for the country's

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	economic development
Dadabhai Naoroji(First Term Exam)	The orginator of 'The Drain Theory,' are prominent among them
Mahatma Gandhi	Describes the economic visions in his books Hind Swaraj and India of My Dreams.
JA Schumpeter (First Term Exam)	Creative destruction

17.Who developed the concept of' Creative Destruction" Explain the concept (Second Term Exam)

$ J. A. Schumpeter, a native of the Czech Republic, developed the concept of 'Creative Destruction.'

$ Industries and technologies create new opportunities and growth through innovation.

$ But he also opined that existing industries and technologies are disrupted or destroyed by innovation.

18.Find out which of the ideas given below are related to the ideas of different economists.

< The rise of the smart phone industries led to the decline of the tape recorder, video player and film camera industries- Creative destruction (JA Schumpeter)

< Government intervention is needed to solve economic problems-Theory of government intervention (J. M. Keynes)

< Trade between two countries can benefit both countries and increase the welfare of the people- Trade between two countries can increase the welfare of both countries (David Ricardo)

< The basis of production is the labour of the workers-'Theory of Surplus Value.' (Karl Marx)

19.What are the significance of Gandhiji's Economic Thoughts in contemporary India (First Term Exam)

> Gandhiji envisioned an economy based on self-sufficiency and decentralisation. > Rural industries need to be nurtured to increase employment opportunities locally.

> Expand local markets for marketing locally produced goods.

> Economic inequality should be alleviated to ensure social justice.

20.The first Indian economist to win the Nobel Prize in Economics in the year 1998

< Amartya Kumar Sen

21.What are the Amartya Kumar Sen's thoughts on Welfare Economics ? (Third Term Model Qn Paper)

• Emphasis should be placed on education, health care and social justice to achieve economic progress.

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• Gender equality and women empowerment are essential for the progress of the country. • Economic development should be evaluated on the basis of its influence on human rights and freedoms.

22.Name the Indian-American economist was awarded the 2019 Nobel Prize in Economics for devising an experimental approach to global poverty eradication?

➢ Abhijit Vinayak Banerjee.

All the Very Best Dear Students

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